

Yellowstone's \$480M Loan Shows Conversion Capital Is Flowing to the Right Sponsor and Basis

Madison Realty Capital's bet on 1740 Broadway signals that private credit is underwriting conversion risk, not office recovery.

The most important number in Yellowstone Real Estate Investments' \$480 million construction loan for 1740 Broadway is not the loan amount. It is the lender. Madison Realty Capital is not a bank. It is a private credit shop that underwrites to a thesis, not a relationship. That distinction matters because it reveals what kind of capital is willing to finance office-to-residential conversions in New York right now: expensive, selective, and sponsor-dependent.

Isaac Hera's firm bought the debt on the roughly 600,000-square-foot MONY building in April 2024 for nearly \$200 million. Blackstone had defaulted on its loan two years earlier. Yellowstone is not buying a performing office asset. It is buying a basis that allows a conversion to pencil. The \$480 million construction loan from Madison Realty Capital is the capital stack that turns that basis thesis into a real project.

The deal is structured as construction financing for a 422-unit mixed-use property with 182 luxury condos and 238 rental apartments. That split matters. Condo sales will provide early cash flow to pay down construction debt. The rental component provides long-term hold income. The capital stack is designed to de-risk the exit before the project is complete. Madison Realty Capital is not betting on office recovery.

It is betting on Yellowstone's ability to execute a conversion at a basis that leaves room for cost overruns, construction delays, and a slower sales market. The \$200 million debt acquisition gave Yellowstone control at a price that reflects the building's highest and best use as residential, not office. The construction loan is the second step in a capital plan that began with buying the distressed debt, not the asset.

This is the pattern that matters for the conversion market. The sponsors who are moving forward are not buying office buildings at peak pricing and hoping conversion economics work. They are buying the debt, controlling the basis, and then layering in construction financing from private credit lenders who can underwrite complexity. The banks are not doing these deals.

Madison Realty Capital, Barings, and other private credit shops are the ones providing the liquidity. Yellowstone's track record supports the thesis. In March, the firm secured \$203 million in debt for its conversion at 220 West 41st Street. In January, it took out a \$326 million construction loan from Barings for the former Watson Hotel at 440 West 57th Street.

Each deal follows the same playbook: acquire at a distressed basis, secure private credit construction financing, and execute a conversion that shifts the asset from office or hotel to residential. The broader market should watch what happens to the condo component at 1740 Broadway. If the 182 luxury condos sell at prices that support the underwriting, the conversion model gains credibility.

If they sit, the rental component becomes the sole exit, and the debt service coverage narrows. Madison Realty Capital is underwriting that risk, but it is doing so at a price that reflects the uncertainty. Conversion projects now account for more than 16,000 planned rental units in New York City, roughly double the pipeline of the next most active city. That pipeline is not a sign that office is back.

It is a sign that the basis reset has created a window for sponsors who can execute and lenders who can underwrite complexity. The capital is flowing to the sponsors who bought the distress, not the ones who bought the story. Madison Realty Capital is not lending because it believes in office-to-residential conversions as a category. It is lending because it believes in this sponsor, this basis, and this capital stack.

That is the difference between a market signal and a one-off deal.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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